classical realists – Thucydides, Machiavelli and Hobbes – Kautilya too saw the world as anarchic and as one where every state had to depend solely on itself. In order to survive in this anarchic world, the king needed to distinguish between friends and enemies as well as potential allies and potential foes.

In Kautilya's concentric circles, your immediate neighbour is your natural enemy as he covets your territory and resources and is positioned to take them if he is more powerful than you. The neighbour's neighbour, however, is your natural friend because he can covet your neighbour's territory but cannot invade you until he becomes your neighbour. This identification of friends and potential rivals proceeds outward in mandalas or circles. Every state in the mandala system faces the same predicament: they all face a series of concentric circles of enemies and friends.

While Kautilya's influence on the Indian approach to the world is undeniable, scholars differ on the depth of his impact on modern Indian strategic thought. According to analysts such as Bangladeshi political scientist Rashed uz Zaman and German international relations scholar Michael Liebig, Kautilyan thought is at the root of Indian strategic thinking and India's policies can only be understood if we understand Kautilya. Others disagree, arguing that Indians admire Kautilya for writing a treatise on statecraft twenty-three centuries ago but do not always consult him before making policy. The admiration manifests itself in symbolic gestures like naming the diplomatic enclave in New Delhi as Chanakyapuri (literally 'Chanakya's city') after Kautilya. But according to these scholars, Kautilyan thought is not the principal inspiration for people such as Nehru, who shaped Indian foreign policy in the formative years after Independence.

According to Rashed, Kautilyan influence is evident when one contrasts the 'rhetoric' of Indian policies and 'their actual implementation'.[14] Rashed asserts that Indian leaders like Nehru used a 'façade' to present their policy